



PAPER – 4:

DIRECT TAX LAWS & INTERNATIONAL TAXATION

The provisions of direct tax laws, as amended by the Finance (No. 2) Act, 2024 and the significant notifications and circulars issued upto 28.02.2025, are relevant for September 2025 examination. The relevant assessment year is A.Y.2025-26. The November, 2024 edition of the Study Material contains the provisions of direct tax laws as amended by the Finance (No. 2) Act, 2024 and notifications and circulars issued upto 31.10.2024. The said study material has to be read along with the Statutory Update containing notifications and circulars issued upto 28.02.2025 but not covered in the study material webhosted at <https://resource.cdn.icai.org/86345bos-aps947-statutory-fnl-sep2025.pdf> and Judicial Update for September, 2025 Examination webhosted at <https://resource.cdn.icai.org/86374bos-aps978-judicial-update-sep2025.pdf>



QUESTIONS

Case Scenario I

Sugam (P) Ltd., Mumbai is engaged in manufacture of ceiling fans and exporting the same to various associated and other enterprises worldwide. The income tax assessment for A.Y. 2022-23 was completed by making reference to the TPO who enhanced the arm's length price of the international transaction by ₹ 855 lakhs. The company applied for APA in March 2024 which was signed in July 2024. The tax assessment for the A.Y. 2021-22 regarding ALP of international transaction was disputed before the Tribunal which set aside the order for fresh consideration by the Assessing Officer in June 2024. The company also applied for rollback benefit which was agreed and signed in December 2024. If the APA is applied, the ALP determined for the A.Y.2022-23 would get enhanced by ₹ 580 lakhs as against ₹ 855 lakhs originally determined by TPO.

Sugam (P) Ltd. has an associated enterprise by name Fiber Inc. in Australia. Fiber Inc. wants to appoint an agent in India to procure raw materials from India for the purpose of manufacture of its products in Germany. The persons/ entity so appointed would be authorized to enter into contracts on its behalf after negotiations with the suppliers.

Sugam (P) Ltd. borrowed USD 100 lakhs from Triple Inc. USA on 1st July 2019 under a loan agreement approved by the Central Government. Interest is payable half yearly in foreign currency @ 4% per annum, on every half year i.e. on 31st December and 30th June. For the half year ended 31st December 2024, interest was paid on 28th February 2025 after deducting tax on source.

TT buying rate of SBI on various dates are: 31st December, 2024 - 1 USD = ₹ 72; 31st January, 2025 - 1 USD = ₹ 73; 28th February, 2025 - 1 USD = ₹ 72.50; 31st March 2025-1 USD = ₹ 74.

Sugam (P) Ltd. exported its products to unrelated party Midland Ltd., Canada. Sugam (P) Ltd. did not maintain prescribed document and information in respect of sales made to Midland Ltd. During the financial year 2024-25, the aggregate sale made by Sugam (P) Ltd. to Midland Ltd., was ₹ 12 crores.

From the information given above, choose the most appropriate answer of MCQs 1 to 6:

1. For which of the following Assessment Years, can the company validly claim rollback benefit under the Advance Pricing Agreement (APA) provisions?
 - (a) A.Y. 2021-22, A.Y. 2022-23, A.Y. 2023-24, A.Y. 2024-25
 - (b) A.Y. 2022-23, A.Y. 2023-24, A.Y. 2024-25, A.Y. 2025-26
 - (c) A.Y. 2021-22, A.Y. 2023-24, A.Y. 2024-25
 - (d) A.Y. 2022-23, A.Y. 2023-24, A.Y. 2024-25
2. What is the time limit for filing the modified return of income in respect of rollback years under the APA provisions?
 - (a) Within 3 months from the end of the month in which the original APA was signed, i.e., 30th October 2024
 - (b) Within 3 months from the end of the month in which the rollback agreement was signed, i.e., 31st March 2025

- (c) Within 6 months from the end of the financial year in which original APA was signed, i.e., 30th September 2025
 - (d) On or before the original due date of filing return of income for rollback years
- 3. Which of the following statements is **correct** regarding the adjustment of Arm's Length Price (ALP) for A.Y. 2022-23 based on the APA and TPO's original determination?
 - (a) ALP adjustment of ₹ 855 lakhs has to be made for A.Y. 2022-23 as the adjustment based on APA of ₹ 580 lakhs results in reducing the total income of the company compared to the TPO's adjustment of ₹ 855 lakhs, thereby disqualifying rollback provisions.
 - (b) ALP adjustment of ₹ 580 lakhs has to be made for A.Y. 2022-23 even though it is less than the TPO's original adjustment of ₹ 855 lakhs since it does not reduce total income as declared in the return of income.
 - (c) ALP adjustment of ₹ 855 lakhs has to be made for A.Y. 2022-23 as rollback provisions cannot be applied for A.Y. 2022-23.
 - (d) ALP adjustment of ₹ 855 lakhs has to be made for A.Y. 2022-23 as the ALP is already determined by the TPO.
- 4. How much is the amount of tax deductible at source by Sugam (P) Ltd. on interest paid to Triple Inc. on 28th February 2025?
 - (a) ₹ 7,63,776
 - (b) ₹ 7,74,384
 - (c) ₹ 7,69,080
 - (d) ₹ 61,10,208
- 5. In which of the following instances, business connection would not get established for Fiber Inc. in India?
 - (a) Opening a branch in Pune for carrying on business in India.
 - (b) Opening a liaison office in New Delhi for finalizing the contracts for supply of raw materials by the suppliers.

- (c) Appointing Mr. X as an agent in Kolkata for interacting with potential customers for promoting the company's products. Mr. X acts as an agent in India for several other companies, which are not related in any manner to Fiber Inc.
- (d) Appointing Mr. Y as an agent in Mumbai for finalizing contracts with the customers on its behalf. Mr. Y acts exclusively for Fiber Inc.
6. How much would be the quantum of penalty leviable on Sugam (P) Ltd. for failure to keep and maintain documents in respect of its transactions with Midland Ltd?
- (a) ₹ 1,00,000
- (b) ₹ 12,00,000
- (c) ₹ 24,00,000
- (d) NIL

Case Scenario II

Timely Payment Limited is engaged in manufacturing and distribution of clocks and watches. It has committed multiple offences over different financial years. The details of the application made for compounding of such offences and their status is given below:

Application Date	Status	Details
10/01/2021	Compounded	Offence u/s 276B for F.Y. 2015-16
15/12/2022	Compounded	Offence u/s 276C(1) for F.Y. 2018-19
14/09/2023	Rejected	Compounding application for offence u/s 276B for F.Y. 2016-17 – rejected due to non payment of tax
20/07/2024	Pending	Application filed for offence u/s 276CC for F.Y. 2019-20 – not disposed of till 17.10.2024
15/11/2024	Consolidated application	Fresh application filed covering: Offence u/s 276B for F.Y. 2016-17

		• Offence u/s 276C(1) for F.Y. 2021-22 • Offence u/s 275A for F.Y. 2023-24
18/12/2024	New application	Application for offence u/s 276B for F.Y. 2022-23. Prosecution initiated on 10/ 08/ 2023

Other Relevant Facts:

- All dues including tax, interest, penalty have been paid before filing the application.
- The applicant has filed necessary undertakings and agreed to withdraw related appeals.
- Compounding application fees of ₹ 50,000 and ₹ 25,000 were paid for consolidated and single applications, respectively.

The company has delayed in depositing the tax deducted at source for the first quarter of F.Y. 2024-25 of ₹ 1,25,00,000 for 135 days. However, no prosecution proceedings yet commenced for such offence. Company has paid all TDS, interest, penalty etc.

Assume that the normal compounding charges in each of the above offence is ₹ 45,000.

From the information given above, choose the most appropriate answer of MCQs 7 to 11:

7. As per the guidelines of compounding of offences, how will the application dated 20/07/2024 (pending as on 17.10.2024) be treated?
- It will be treated as debarred, and company has to file a fresh application under revised guidelines and pay fresh application fees.
 - It will be disposed of as per previous guidelines.
 - It will be treated as the first application under revised guidelines and no fees is required to be paid.
 - It will be rejected automatically since it was filed under previous guidelines.

8. What rate of compounding charges shall be applicable on compounding the offence u/s 275A for F.Y. 2023-24 included in the consolidated application?
- (a) Normal rate
 - (b) 1.2 times of compounding charges
 - (c) 1.4 times of normal rate
 - (d) Not a compoundable offence
9. What rate of compounding charges shall be applicable on compounding the offence u/s 276B for F.Y. 2016-17 included in the consolidated application?
- (a) Normal rate
 - (b) 1.2 times of compounding charges
 - (c) 1.4 times of normal rate
 - (d) Not compoundable, as it was previously rejected due to non payment of tax
10. What would be compounding charges for application filed on 18.12.2024 for offence u/s 276B for F.Y. 2022-23?
- (a) ₹ 81,000
 - (b) ₹ 45,000
 - (c) ₹ 94,500
 - (d) ₹ 67,500
11. Whether application for compounding of offence can be filed for the third quarter of F.Y. 2024-25?
- (a) No, application for compounding can be filed only after initiation of prosecution proceeding.
 - (b) No, application for compounding cannot be filed for offence related to delay in deposit of TDS
 - (c) Yes, application for compounding can be filed by the company even if prosecution proceedings are not yet commenced.

- (d) Since company has already paid the TDS, interest and penalty etc., no further action is required for F.Y. 2024-25.
12. A search is conducted by the Income-tax department in India in the premises of Mr. Surya Prakash on 25.3.2025 and it has come to the notice of the department that Mr. Surya Prakash has earned income to the tune of ₹ 5 lakhs in country X during the previous year 2020-21. Further, Income-tax department noticed the existence of undisclosed gold jewellery which was purchased on 21-4-2022. Neither this income, nor the asset in question, has any bearing to income chargeable under the provisions of the Income-tax Act, 1961. The jewellery had been purchased for ₹ 4.2 lakhs. Its value as per report of Valuer recognized by the Government is ₹ 5.2 lakhs as on 1.4.2024 and ₹ 5.3 lakhs as on 25.3.2025.

Which of the following statements is correct, with reference to the taxability of the impugned items in the hands of Mr. Surya Prakash in India under the Black Money (Undisclosed Foreign Income and Assets) and Imposition of Tax Act, 2015 (BM Act)?

- (i) Both undisclosed income and undisclosed asset would be taxable in the P.Y.2024-25
- (ii) Undisclosed asset is taxable in the P.Y.2022-23 and undisclosed income in the P.Y.2020-21
- (iii) Undisclosed asset is taxable in the P.Y.2024-25 and undisclosed income in the P.Y.2020-21
- (iv) The value of undisclosed asset is ₹ 4.2 lakhs
- (v) The value of undisclosed asset is ₹ 5.2 lakhs
- (vi) The value of undisclosed asset is ₹ 5.3 lakhs

The correct answer is –

- (a) (i) and (v)
- (b) (ii) and (iv)
- (c) (iii) and (v)
- (d) (i) and (vi)

13. Peter Pte. Ltd., Singapore (a Foreign Institutional Investor) is a subsidiary company of Zoom Ltd. based on U.K. Peter Pte. Ltd. commenced its activities in India from 01st December, 2024. On 31st March 2025, it earned short term capital gains of ₹ 70 lakhs on transfer of listed shares of an Indian company on which STT is paid.

How much is the tax payable by Peter Pte. Ltd. on the short-term capital gain of ₹ 70 lakhs for the A.Y. 2025-26?

- (a) ₹ 12,01,200
 - (b) ₹ 10,92,000
 - (c) ₹ 16,01,600
 - (d) ₹ 14,56,000
14. The net profit of Rainbow Ltd. as per its statement of profit and loss for the year ended 31.03.2025 amounted to ₹ 27,22,000 after debiting/crediting following items:
- (i) Payment of interest on money borrowed from bank for purchase of land ₹ 2,00,000. The land was meant for construction of a factory building and for which the approval from local authority is pending till 31.03.2025.
 - (ii) Commission of ₹ 1,00,000 paid in the month of February, 2025 on which tax was deducted in February, 2025 itself. Commission of ₹ 1,25,000 paid in the month of March, 2025 on which tax was deducted in May, 2025. Tax deducted at source on these payments was deposited to the Government on 28.09.2025.
 - (iii) Travelling expenses of ₹ 90,000 on a foreign tour of a director for negotiating collaboration with a foreign manufacturer for initiation of new line of business.
 - (iv) As part of the restructuring of its debt, the company has converted arrears of interest of ₹ 3,00,000 on term loan into a new term loan with a revised repayment schedule. The company has paid ₹ 50,000 towards such funded interest during the year. ₹ 3,00,000 is debited to statement of profit and loss.

- (v) On EPABX and mobile phones (exclusively used for business purpose) purchased during the year, depreciation amounting to ₹ 18 lakhs was claimed at 40% treating them as computers.
- (vi) ₹ 5,00,000, being contribution to S Ltd. (wholly owned subsidiary company) for construction of a school for the benefit of its employees.
- (vii) Dividend received from P Ltd. on 10,000 equity shares of ₹ 10 each purchased at ₹ 100 per share on 10th October, 2017. The rate of dividend declared is 100%, the record date being 10th December, 2024. These shares were sold on 15.3.2025 at ₹ 130 per share. Long term capital gain of ₹ 3 lakhs is credited in statement of profit and loss. Fair market value of shares as on 31.1.2018 is ₹ 110.
- (viii) Provision for gratuity based on actuarial valuation ₹ 6,00,000 was debited to statement of profit and loss. Actual gratuity paid ₹ 1,50,000 was debited to provision for gratuity account.

Other information:

- (1) Provision for bonus for the year 2023-24 paid on 15.11.2024 ₹ 98,000. It is inclusive of payment by bearer cheque of ₹ 34,000 to one employee.
- (2) The company has purchased and put to use a commercial vehicle of ₹ 8,00,000 for the purpose of business on 21.03.2025 and calculated depreciation@15% for the full year. Depreciation debited to the statement of profit and loss is calculated on all other assets as per the rates prescribed in the Income-tax Act, 1961.

Compute the total income of the company chargeable to tax for the A.Y. 2025-26, ignoring the provisions of section 115JB. Company is not opting for any concessional tax regimes.

- 15. Shaanti Foundation, a Charitable institution registered under section 12AB is engaged in preservation of forests. The accountant of the institution provides the following details of the institution to you as a Chartered Accountant. Examine and discuss the treatment of each of the independent situations in the hands of the Charitable institution for the

P.Y. 2024-25 as per provisions of Income-tax Act, 1961. Your answer should be followed with reasons:

- (i) The institution follows mercantile system of accounting and during the previous year 2024-25, has incurred Electricity expenses amounting to ₹ 1,20,000 for the period pertaining to the year 2024-25. The Electricity expenses was actually paid on 15th April 2025 through an account payee cheque. In which year, such expenditure will be treated as application of income of the Shaanti Foundation?
 - (ii) The Foundation was cultivating 15 acres of agriculture land. From agricultural operations, it earned ₹ 10,00,000 during the previous year 2024-25. Whether exemption under section 10(1) will be available to Shaanti Foundation on such income?
 - (iii) Shaanti Foundation has earned rental income for the P.Y. 2024-25 amounting to ₹ 4,00,000. It received ₹ 3,00,000 upto 31st December, 2024 of such income. However, the balance of ₹ 1,00,000 was received on 31st August, 2025. Upto what period the institution can apply the same amount towards the objects of the institution? The institution has exercised the relevant option in this regard.
16. In respect of the following independent case scenarios, you are required to discuss the provisions related to tax deducted at source/tax collection at source for the year ended 31st March, 2025:
- (1) Mr. Raju purchased scrap of ₹ 55 lakhs from Mr. Sandeep for the purpose of his manufacturing unit and credited him in books of account. Mr. Raju furnished a certificate to Mr. Sandeep that the scrap shall be utilized for manufacturing process carried on by him and shall not be used for trading purposes. Mr. Raju made the payment of ₹ 45 lakhs during the F.Y 2024-25 to Mr. Sandeep. Assume turnover of both Mr. Raju and Mr. Sandeep from the business carried on by them exceeds ₹ 10 crores in the financial year 2023-24.
 - (2) Mr. Rajat took a loan of ₹ 12 lakhs from his employer, Josh Private Limited, an Indian domestic manufacturing company for

sponsoring studies of his daughter in Australia. Out of the said loan, he remitted ₹ 9,75,000 towards fees to the University in Australia for his daughter's education on 01.10.2024.

The remittances were made through the same authorized dealer under the Liberalized Remittance Scheme of RBI.

17. Samaksh Ltd. filed its return of income under section 139(1) on 15th September, 2023 for A.Y. 2023-24. The return was found to be defective, and an intimation was issued on 10th May, 2024, directing the assessee to rectify the defects within 15 days. The defects were rectified on 19th May, 2024. The return was processed, and intimation was sent on 15th July, 2024. Subsequently, the Assessing Officer issued a notice under section 143(2) on 21st June, 2025.

CA. of Samaksh Ltd. contended that the notice was barred by limitation since it was issued beyond the permissible time limit. Examine the validity of the notice issued under section 143(2) by the Assessing Officer.

18. Mr. Kabir filed his return of income for A.Y.2025-26, declaring total income of ₹ 35 lakhs, on 2nd June, 2025. He has opted out of the default tax regime. On processing of return, the total income determined under section 143(1)(a) was ₹ 45 lakhs. Thereafter, on scrutiny, the Assessing Officer made some additions under section 40(a)(ia) and section 43B and passed an assessment order under section 143(3) assessing total income of ₹ 85 lakhs. Later on, the Assessing Officer noticed that certain income had escaped assessment and issued notice for reassessment under section 148. The total income reassessed under section 147 was ₹ 1.05 crores.

Considering that none of the additions or disallowances made in the assessment or re-assessment as above qualifies under section 270A(6), compute the amount of penalty to be levied under section 270A of the Income-tax Act, 1961 at the time of assessment under section 143(3) and at the time of reassessment under section 147 (Assume under-reporting of income is not on account of misreporting).

19. DiamondLux BV is a foreign company incorporated in Belgium. It is engaged in diamond mining and trading of raw diamonds. It sells raw

diamonds globally. During the P.Y. 2024-25, it sold raw diamonds to Indian buyers in Special Notified Zone (SNZ) in Surat, Gujarat for ₹ 100 crores. An exhibition was taken place in Special Notified Zone (SNZ) in Surat, Gujarat for display of uncut and unassorted diamonds. DiamondLux BV has income of ₹ 10 crores from activity of display of uncut and unassorted diamond in that exhibition. DiamondLux BV wants to exercise the option to apply for safe harbour rules. It wants to declare profits of ₹ 3 crores from trading of raw diamonds to Indian buyers and profit of ₹ 2 crores from display of diamonds in Special Notified Zone (SNZ) in Surat.

Whether DiamondLux BV is eligible to opt for the Safe Harbour Rules. If yes, can it declare profit of ₹ 3 crores and ₹ 2 crores from trading of raw diamonds to Indian buyers and from display of diamonds, respectively under safe harbour rules?

20. Ms. Kanika Tondon is a popular Indian pop singer. She has business interest in Country X and Y as well. She is a resident in India for the A.Y. 2025-26.

The details of income earned by Ms. Kanika Tondon from India as well as Country X and Country Y with which India does not have any DTAA, during the P.Y. 2024-25 are as under:

Type of Income	India	X	Y
	(₹ in crores)		
Income from house property (Computed)	4.3	(1.3)	-
Business/ Professional income:			
Singing profession	9	-	2
From being the owner of cricket team Delhi Super Players	5.5	-	-
Other business		7.2	2.9
Share income from partnership firm (not evidenced by an instrument in writing)		4.8	-
Agricultural income	1.5	-	1.2

Ms. Kanika has deposited ₹ 1.5 lakhs in PPF and paid Life Insurance premium of ₹ 1 lakh.

In Country X, share income is not exempt and loss from house property is not eligible for being set off against other income. In Country Y, agricultural income is chargeable to income-tax.

In Country X, Ms. Kanika has paid income-tax of ₹ 2.16 crores and in Country Y ₹ 2.44 crores on the total income earned in those countries.

Compute the net tax liability of Ms. Kanika for the A.Y.2025-26, assuming that she is paying tax under default tax regime under section 115BAC.